

**BEFORE THE  
FEDERAL MARITIME COMMISSION**

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**DOCKET NO. 24-16**

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**Samsung Electronics America, Inc.**

**v.**

**COSCO Shipping Lines Co. Ltd.**

**v.**

**Samsung Electronics Company, Ltd., Samsung SDS Global SCL Asia Pacific PTE LTD,  
and Samsung Electronics Logitech Company, Limited**

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**RESPONDENT'S OPPOSITION TO NON-PARTY SAMSUNG SDS AMERICA, INC.'S  
MOTION TO QUASH**

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## **INTRODUCTION**

In this action, Complainant Samsung Electronics America, Inc. (“SEA”) seeks reparations “totaling at least \$20 million” for what it contends were unjust and unreasonable charges imposed by Respondent COSCO Shipping Lines Co., Ltd. (“COSCO”) for demurrage and detention in alleged violation of the Shipping Act. Am. Compl. ¶ 108 (Doc 26). COSCO denies that it violated the Shipping Act, and has asserted a counterclaim against SEA and a third-party complaint against its affiliates Samsung Electronics Co., Ltd. (“SEC”), Samsung SDS Asia Pacific Pte. Ltd. (“SDS Aisa Pacific”), and Samsung Electronics Logitech Co., Ltd. (“Logitech”)<sup>1</sup> for violations of the Act. Answer and Counterclaim (Doc. 30); Third-Party Complaint (Doc. 31).

SDS America, Inc. (“SDS America”) is a U.S. corporation and an affiliate of SDS Asia Pacific,<sup>2</sup> the latter having service contracts with COSCO. Under these service contracts, COSCO carried goods into the United States for which Complainant SEA was consignee. Verified Am. Compl. ¶ 41 (Doc. 26); Counterclaim at ¶ 30 (Doc. 30). Crucially, as documents produced in discovery confirm, SDS America was directly and intimately involved in the transactions and events at issue in this proceeding. SDS America coordinated U.S. logistics for cargo on which SEA was consignee, including “handling all inbound drayage” (*see* Exhibit 1, attached hereto at COSCO0565165), arranging for new CNTs for SEA (*see* Exhibit 2, attached hereto at COSCO0566205); confirming payments and seeking release of freight (*see* Exhibit 3, attached

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<sup>1</sup> Third-Party Respondents are sued herein as Samsung Electronics Company, Ltd., Samsung SDS Global SCL Asia Pacific PTE LTD, and Samsung Electronics Logitech Company, Limited.

<sup>2</sup> Non-party SDS America asserts it is a separate corporate entity from both SEA and Third-Party Respondents. Mot. at 1. SDS America and SDS Asia Pacific are ultimately 100% owned by Samsung SDS Co., Ltd. Samsung SDS Co., Ltd. Consolidated Financial Statements 2024 and 2023 at 66, 68. (available at

[https://image.samsungsds.com/en/investor/financial\\_info/report/\\_icsFiles/afieldfile/2025/05/15/Samsung%20SDS\\_2024\\_Consolidated.pdf](https://image.samsungsds.com/en/investor/financial_info/report/_icsFiles/afieldfile/2025/05/15/Samsung%20SDS_2024_Consolidated.pdf)).

hereto at COSCO006995), approving container pre-pulls and storage charges (*see* Exhibit 4, attached hereto at COSCO0240984; Exhibit 5, attached hereto at COSCO0241095); appeared on waybills (*see* Exhibit 6, attached hereto at COSCO0061354); apparently met with COSCO and SEA and discussed the content of invoices under OSRA and SEA's paying demurrage through COSCO (*see* Exhibit 7, attached hereto at COSCO200546); and sought refunds or credits from COSCO for demurrage or detention charges, asserting that SEA was not at fault (*see* Exhibit 8, attached hereto at COSCO0565161).

COSCO served SDS America with a subpoena for the production of documents on October 1, 2025. Disregarding FMC Rule 71, SDS America did not seek to confer with counsel for COSCO to try to resolve or narrow any dispute,<sup>3</sup> but instead served a motion to quash on October 14, 2025.<sup>4</sup> *See* 46 C.F.R. § 502.71(a).

SDS America's motion should be denied. The subpoena seeks information that is highly relevant to this action, and SDS America has not, and could not, demonstrate that compliance would constitute an undue burden or that the subpoena is improper.

### **LEGAL STANDARD**

Commission Rule 131 provides that a subpoena for the production of evidence "shall be issued upon request of any party." 46 C.F.R. § 502.131. The scope of the subpoena is governed by Rule 141(e), which allows a party to "obtain discovery regarding any nonprivileged matter

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<sup>3</sup> Modification of a subpoena is preferable to quashing it outright. *Wiwa v. Royal Dutch Petroleum Co.*, 392 F.3d 812, 818 (5th Cir. 2004).

<sup>4</sup> On October 1, 2025, the FMC issued an announcement that, due to a lapse in Federal appropriations, it had ceased operations and referencing 46 C.F.R. § 502.101 ("If the Commission's offices are inaccessible on the last day for a filing, the time for filing is extended to the first accessible day that is not a Saturday, Sunday, or Federal holiday.") Notice available at <https://www.fmc.gov/articles/fmc-suspends-operations-due-to-federal-government-shutdown/>. As of the date of service of this Reply, the FMC continues to be shut down.

that is relevant to any party's claim or defense.” 46 C.F.R. § 502.141(e)(1). The Presiding Officer may of course limit discovery, but only if the non-party demonstrates that “the burden or expense of the proposed discovery outweighs its likely benefit.” 46 C.F.R. § 502.141(e)(2).

## **ARGUMENT**

### **I. The Subpoena Seeks Documents that Are Highly Relevant**

There can be no doubt that the documents sought by COSCO from SDS America are highly relevant to this proceeding and go to the heart of SEA’s claims against COSCO. They include, among others, documents concerning delays in the return of containers and equipment (Request 18); the cause of delays and who bears financial responsibility for delays (Requests 5, 6, 16, 19, 20, 21, 22, and 23); charges for delays and the payment or non-payment of those charges (Requests 8-10, 14, 15, 24); requests and actions on requests for refunds, credits, or cancellation of delay charges (Requests 12, 13); COSCO’s alleged refusal to release cargo because of outstanding delay charges (Request 21) (*see* Verified Am. Compl. ¶¶ 55-56); drayage of SEA’s cargo (Request 29); and communications with others about, and statements by SDS America and COSCO concerning, this action or its subject matter (Requests 25-27).<sup>5</sup> These

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<sup>5</sup> Other requests seek documents sufficient to show persons with knowledge (Request 1) and SDS America’s relationship with SEA (Request 3); documents concerning invoices and detention and demurrage charges after the effective date of OSRA (Request 14); *see* Verified Am. Compl. Count V – OSRA Unreasonable Charges; documents concerning SEA or others seeking to engage in a dispute resolution process (Request 30, *see* Verified Am. Compl. Count VI – Unjust and Unreasonable Dispute Resolution Practices); documents concerning the negotiation and meaning of the applicable service contracts and provisions considered (Requests 4 and 5); and documents about disagreement with or intent not to comply with the service contracts, COSCO’s tariffs, and other requirements (Request 31). Request 31 principally, but not entirely, concerns COSCO’s Counterclaim (as well as its Third-Party Complaint). But information about negotiations are relevant to contractual provisions and the parties’ intent concerning risk, costs, and responsibility for delays.

requests are highly probative of the issues before the Commission, and COSCO needs them to prepare its defense.

## **II. SDS America Has Not Met its Burden of Establishing Undue Burden**

Relevance having been established, SDS America bears the burden of proving that complying with the subpoena would impose an undue burden. *See, e.g., Linder v. Dep't of Def.*, 133 F.3d 17, 24 (D.C. Cir. 1998) (requiring compelling showing of burden); *Katz v. Shell Energy N. Am.*, 566 F. Supp. 3d 104, 106-107 (D. Mass. 2021); *Storz Mgmt. Co. v. Carey*, No. 2:18-cv-0068 TLN DB, 2019 U.S. Dist. LEXIS 107272, at \*3 (E.D. Cal. June 26, 2019). SDS America has provided no information, let alone a declaration, as to what it would have to do to produce the documents sought. It has thus failed to meet its burden here. *Samsung Electronics America, Inc. v. SM Line Corporation*, FMC Dkt. 23-01 (Doc. 53) (ALJ Order Regarding Discovery Motions at 5) (Jan. 24, 2024). There, Judge Chintella rejected non-party SDS America's assertion of undue burden, as well as the bulk of its motion to quash respondent ocean carrier's subpoena because SDS America's "assertions of the burden of compliance are vague and overblown...." SDS America's argument rested on the contention that it would have to do an "extensive search of its email system" but that "could be as simple as identifying potential custodians...and utilizing the built-in search functionality of its email system.") *See Katz*, 566 F. Supp. 3d at 107 (burden not established where subpoena recipient had not done preliminary searching to ascertain how many emails would be potentially relevant or estimated time and costs) *Storz Mgmt. Co. v. Carey*, 2019 U.S. Dist. LEXIS 107272, at \*5 (denying non-parties' motions to quash where motions were "devoid of any specificity or evidentiary support by way of declaration... from which the court could determine the value of the evidence or the burden on the non-parties.")

SDS America's primary argument appears to be that COSCO has, or could obtain from SEA, most of the documents sought. But although a court may consider whether a party already

possesses some of the documents, or could obtain them from its opposite party, that is merely one factor in a broader analysis. See *Vesper Mar. Ltd. v. Lyman Morse Boatbuilding, Inc.*, No. 2:19-CV-00056-NT, 2020 WL 877808, at \*2 (D. Me. Feb. 21, 2020) (describing “balancing test” required in analyzing third party subpoenas). Indeed, in *SM Line*, supra, the Presiding Officer denied SDS America’s similar motion to quash, even though it “appeared” that SDS America’s “practice was to copy SM Line and/or Samsung Electronics America on communications with those parties...” *Samsung Electronics America, Inc. v. SM Line Corporation*, FMC Dkt. 23-01 (Order at 5). See *Storz Mgmt. Co. v. Carey*, 2019 U.S. Dist. LEXIS 107272, at \*5-6 (denying motion to quash where the movant contended the documents could be obtained from others).<sup>6</sup>

Moreover, even if COSCO and SEA possess some documents which the subpoena seeks, they would not have all such documents—including SDS America’s internal documents, and communications with, or documents from, entities other than COSCO and SEA. Suppose, for example, an SDS America internal document stated that SEA was the cause—or conceded it was the cause— of one or more delays; or another provided that SDS America would seek a refund or credit for detention or demurrage charges, even though COSCO wasn’t the cause of or responsible for delays, or that SEA’s customer nominated truckers were to blame. Or suppose

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<sup>6</sup> The cases upon which SDS America relies are inapposite. *Amini* involved a deposition subpoena where the witness “lacked personal knowledge about every topic listed in the subpoena” (*Amini Innovation Corp. v. McFerran Home Furnishings, Inc.*, 300 F.R.D. 406, 408-13 (C.D. Cal. 2014)); in *Watts*, the SEC refused to allow three subpoenaed witnesses to testify, and the court held it lacked jurisdiction to determine whether the subpoenas were proper (*Watts v. Sec. Exchange Comm.*, 482 F. 3d 501, 509 (D.C. Cir. 2007)); *Cusumano* concerned a subpoena which would have invaded “important First Amendment values” (*Cusumano v. Microsoft Corp., Inc.*, 162 F.3d 708, 710 (1st Cir. 1998)); *Diamond* involved subpoenas to law firms and had only a “slim chance of a ‘likely benefit’” (*Diamond Serv. Mgmt. Co. v. Knobbe, Martens, Olson & Bear, LLP*, 339 F.R.D. 334, 340 (D.D.C. 2021)); and in *Goldberg*, the court compelled compliance with a deposition subpoena. *In re Subpoena to Jeffrey Goldberg*, 693 F. Supp. 2d 81, 89 (D.D.C. 2010).

that SDS America’s documents include communications with drayage providers or other third parties about their failure to meet deadlines, or communications with others—such as SEA’s parent SEC, which states that COSCO’s detention and demurrage charges were valid. COSCO is entitled to any such documents, and SDS America’s assertion that any significant documents are in COSCO’s or SEA’s possession is simply unfounded.

Finally, SDS America’s theory that, because COSCO is also seeking to serve a subpoena on SDS Asia Pacific, the instant subpoena seeks to make an “end run around the...Hague Evidence Convention” (Mot. at 6) cannot stand. As noted above, SDS America operates in the United States, and was directly and extensively involved in the transactions at issue that lead to the charges alleged in the Complaint: it handled the United States logistics for shipments in which SEA was consignee, including making arrangements with third parties, approving the pre-pull and storage of containers, and seeking the refund of detention or demurrage charges. SDS America has provided no basis to conclude that SDS Asia Pacific has the documents responsive to the subpoena that are in the possession of SDS America, and indeed, neither SDS Asia Pacific nor SDS America has represented that SDS Asia Pacific intends to produce any documents at all.<sup>7</sup>

*Laker Airways Ltd. v. Pan American World Airways*, the sole case upon which SDS America relies for its Hague Convention argument, proves COSCO’s point. 607 F. Supp. 324 (S.D.N.Y. 1985). In *Laker Airways*, the court quashed a subpoena issued to a New York branch of a foreign corporation because “all of [the corporation’s] activities in connection with this

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<sup>7</sup> And contrary to SDS America’s contention that COSCO is “conjoining multiple, separate corporate entities” (Mot. at 4), the subpoena is directed to SDS America and seeks documents from it. *See* Subpoena, Definition 1 (filed and served with COSCO’s Proof of Subpoena Service on Non-Party Samsung SDS America, Inc. on October 7, 2025).

matter took place solely in the United Kingdom” and the New York branch opened after the violation alleged in the complaint occurred. *Id.* at 326 (emphasis added). But SDS America—a separate company from SDS Asia Pacific—was as a key player in the events at issue, and its conduct occurred in the United States.

### **CONCLUSION**

For the foregoing reasons, SDS America’s motion to quash should be denied.

Dated: October 21, 2025

Respectfully submitted,

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## CERTIFICATE OF SERVICE

I certify that on the 21st day of October, 2025, a true and correct copy of the foregoing document, **Respondent's Opposition to Non-Party Samsung SDS America, Inc.'s Motion to Quash**, was served by email on counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

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